

BUSINESS PLAN: ROADMAINTAIN SAAS

Digital Road Infrastructure Management & Citizen Reporting Platform

1. EXECUTIVE SUMMARY

1.1. Mission and Vision

RoadMaintain is an innovative B2G (Business-to-Government) SaaS platform designed to digitize the maintenance of road infrastructure. By connecting citizens (drivers) who report road issues with public road maintenance utility companies in real-time, we eliminate outdated communication channels (paper, emails, Viber groups) and enable faster, more efficient, and transparent road repairs.

1.2. Problem and Solution

- **The Problem:** Public road maintenance companies lack a structured digital workflow. Crucial information regarding potholes, landslides, and damaged road signs gets lost in bureaucracy and fragmented communication. Consequently, field response times are slow, and citizens have zero visibility into the status of their reports.
- **The Solution:** An integrated platform consisting of:
 1. A lightweight, user-friendly citizen application (reporting road hazards in just two clicks).
 2. A robust digital dashboard (back-office) for dispatchers and management to automatically generate, assign, and track work orders.

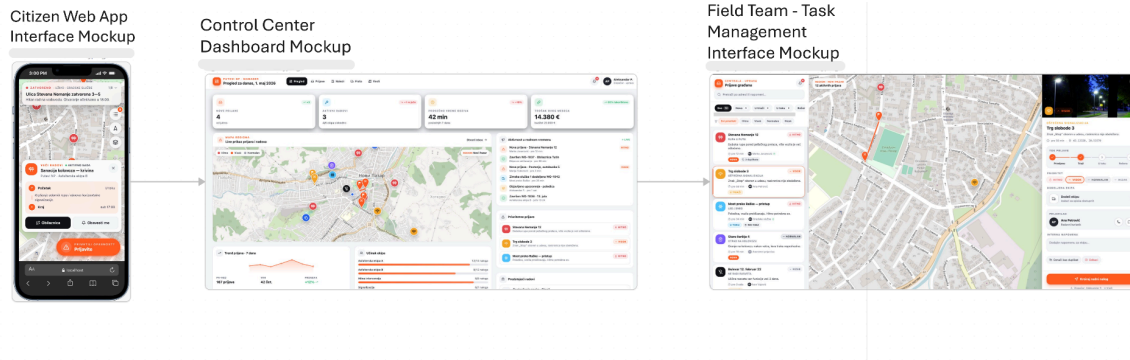
1.3. Unfair Advantage & Team Domain Expertise

Our team possesses a powerful combination of domain-specific expertise:

- **Technical & Field Expertise:** Our co-founder has over 20 years of hands-on experience as a construction site manager (*šef gradilišta*) at a leading regional road maintenance company. This ensures our software workflow perfectly mirrors real-world, daily operations on the ground.
- **Administrative & Public Sector Insight:** Through family-backed expertise in local municipal administration (specifically in environmental protection, municipal waste management, and EU-funded ecological projects), we possess a deep understanding of public procurement laws, local government workflows, and the criteria required to leverage ecological and structural development funds (such as **EIT Urban Mobility** and **Raising Starts**).

2. PRODUCT AND SERVICE DESCRIPTION

The platform is delivered as a secure, multitenant Software-as-a-Service (SaaS) suite and features three tightly integrated interfaces:



2.1. Citizen Portal & Driver Web App (Front-End)

- **Interactive Road Map:** Displays active roadworks, closed lanes, and hazardous road segments.
- **Two-Click Reporting:** Drivers take a photo of a hazard (e.g., pothole, landslide, damaged sign), optionally - leaves a voice message that gets transcribed into the text, the web app automatically captures the GPS coordinates, and the user submits the ticket without requiring a tedious registration process.
- **Live Status Tracking:** Citizens can track their ticket's progress in real-time as it changes from "Received" to "In Progress" and finally "Resolved" (complete with a photo of the completed repair).

2.2. Control Center for Public Utilities & Municipalities (Back-Office)

- **Central Dispatch Dashboard:** Provides a unified geographic view of all incoming citizen tickets, color-coded by severity, urgency, and road section.
- **Work Order Generator:** Dispatchers can instantly convert a citizen ticket into a formal work order, assigning it to a specific field team or vehicle, and defining deadlines.
- **Analytics & Performance Reports:** Generates automated operational reports showcasing resource allocation, average resolution times, and recurring high-risk road sections—ready for municipal councils or ministry audits.

2.3. Field Team Portal (Mobile-Responsive Client)

- **Digital Task Queue:** Field workers receive prioritized repair tasks directly on their mobile devices, including exact locations and reported photos.
- **Completion Logs:** Workers update the status ("Underway", "Completed") and upload "Before and After" photos to ensure accountability and structured historical logging.

2.4. Environmental and Economic Optimization

By grouping work orders on the same route and allowing dispatchers to assign tasks to the closest active teams, utility companies minimize unnecessary heavy-vehicle mileage. This directly leads to:

- Reduced fuel consumption (direct economic savings).

- Quantifiable CO2 emission reductions, making the platform highly compatible with green municipality targets and European climate agendas.

2.5. Future Product Roadmap (Phase 2 Expansion)

- **Resource Tracking & Fleet Optimization:** Future modules will integrate directly with vehicle GPS tracking systems and IoT telemetries (e.g., winter road salt spreaders) once initial market penetration is secured and target hardware integrations are validated.

3. MARKET AND COMPETITOR ANALYSIS

3.1. Target Market (B2G Focus)

Our primary focus is the **B2G (Business-to-Government)** segment in Serbia and the Western Balkan region:

1. **Local Municipalities (Cities & Opštine):** Public directorates for construction and urban planning that allocate municipal budgets for local street maintenance. (Serbia alone comprises 145 municipalities and 29 cities).
2. **Contracted Road Maintenance Enterprises:** Private or public utility enterprises that hold multi-year government contracts for routine and winter road upkeep.

3.2. Market Size (TAM, SAM, SOM)

- **TAM (Total Addressable Market):** The entire Smart Cities software and infrastructure maintenance market in the Western Balkans, estimated at **15 Million EUR** annually.
- **SAM (Serviceable Addressable Market):** Specialized road maintenance software and citizen reporting systems for local councils and utility providers in Serbia, Bosnia & Herzegovina, and Montenegro, estimated at **3 Million EUR** annually.
- **SOM (Serviceable Obtainable Market):** Our realistic target for the first 2 years—acquiring 12 municipal/utility accounts in Serbia, generating **66,620 EUR** in annual recurring and setup revenue.

3.3. Competitor Analysis

Competitor / Alternative	Strengths	Weaknesses	RoadMaintain Differentiation
Traditional Methods (Viber, Paper, Excel, phone calls)	Free, familiar to employees.	High rate of lost reports, lack of tracking, zero analytics, slow response.	Provides structured, automated workflows. Saves dispatcher hours and enforces accountability.

Global Enterprise Players (See <i>ClickFix</i> , <i>FixMyStreet Pro</i>)	Highly mature, feature-rich platforms.	High pricing (€15k-€60k/year), not localized, lack regional customer support, complex procurement processes.	Highly competitive, localized pricing matching municipal budgets; tailored to regional reporting standards.
Generic municipal ERP/DMS systems	Covers all municipal departments.	Not optimized for road-specific maintenance, complex interface for field workers, lack GIS routing.	Highly streamlined, specialized road maintenance workflow developed directly with field experts.

4. BUSINESS MODEL AND MONETIZATION STRATEGY

We utilize a hybrid **B2G SaaS** model combining one-time setup fees with recurring annual subscription charges.

4.1. Revenue Streams

1. **One-Time Implementation & Training (Setup Fee):** Covers digital mapping of the municipality's road networks, initial system configuration, database setup, and hands-on staff training.
2. **Annual SaaS Subscription (Recurring Fee):** Grants continuous cloud access, hosting, system maintenance, 24/7 technical support, and feature updates.

4.2. Pricing Packages (Annual Subscriptions)

- **Small Package (Municipalities up to 30k residents):** 230 EUR / month (2,760 EUR billed annually) + 1,000 EUR setup fee.
- **Medium Package (Municipalities/Enterprises up to 80k residents):** 450 EUR / month (5,400 EUR billed annually) + 1,500 EUR setup fee.
- **Large Package (Cities/Enterprises over 80k residents):** 850 EUR / month (10,200 EUR billed annually) + 2,500 EUR setup fee.

5. TWO-YEAR FINANCIAL PLAN

Our financial plan assumes that in Year 1, we secure early-stage non-equity grant funding (such as **Raising Starts** and European non-dilutive programs like **EIT Urban Mobility**) to co-fund our core MVP development and launch a pilot project.

5.1. Projected Expenses (EUR)

We leverage highly cost-effective, premium vector mapping technologies with custom optimization layers to avoid expensive commercial Map API fees during our early growth phase.

Expense Category	Year 1	Year 2	Description
Product Development (Nominal Stipends)	7,200	18,000	Baseline developer compensation during early-stage MVP and pilot phases.
Hosting, Infrastructure & API Services	600	1,800	Hetzner/AWS cloud hosting, geocoding, and map rendering engines.
B2G Marketing & Sales	1,200	3,600	Direct sales presentations, municipality forums, and travel costs.
Administration, Legal & Accounting	1,000	2,000	Company registration, specialized B2G contract drafting, bookkeeping.
Total Expenses (A)	10,000	25,400	

5.2. Projected Revenue (EUR)

- **Year 1 Target:** Finish MVP, execute 1 successful free pilot project to establish a regional case study, and close **3 paid contracts** (2 Small, 1 Medium).
- **Year 2 Target:** Geographical expansion across Serbia, reaching **12 active accounts** (7 Small, 4 Medium, 1 Large).

Revenue Stream	Year 1	Year 2	Calculation
Setup Fees	3,500	15,500	Y1: (2 x 1,000 + 1 x

(One-time)			1,500) Y2: (7 x 1,000 + 4 x 1,500 + 1 x 2,500)
SaaS Subscriptions (Annual)	10,920	51,120	Y1: (2 x 2,760 + 1 x 5,400) Y2: (7 x 2,760 + 4 x 5,400 + 1 x 10,200)
Total Revenue (B)	14,420	66,620	
NET MARGIN (B - A)	+4,420	+41,220	High margin potential typical of lean, scalable cloud SaaS.

6. BREAK-EVEN ANALYSIS

Our break-even analysis determines the exact point at which our recurring subscription revenues fully offset our monthly operational overhead, showing when the startup transitions into stable profitability.

6.1. Financial Variables (Year 2 Estimates)

- **Fixed Monthly Expenses (F): 1,800 EUR / month** (Includes developer retention, administrative overhead, marketing, and hosting basic maintenance).
- **Variable Cost per Active Client (V): 30 EUR / month per client** (Reflects incremental cloud compute, database writes, map geocoding queries, and customer support).
- **Average Monthly Subscription Price (P): 430 EUR / month** (Estimated as the weighted average subscription across Small, Medium, and Large municipality packages).

6.2. Contribution Margin (M)

The Contribution Margin represents the portion of sales revenue that is not consumed by variable costs and so contributes to the coverage of fixed costs:

$$M = P - V = 430 \text{ EUR} - 30 \text{ EUR} = 400 \text{ EUR} / \text{client}$$

6.3. Break-Even Point Calculation (BEP)

Using the break-even formula for subscription units:

$$\text{Break-Even Point (Clients)} = \frac{F}{M} = \frac{1800 \text{ EUR}}{400 \text{ EUR}} = 4.5$$

6.4. Break-Even Strategic Conclusion

To cover all fixed and variable operating costs, we need to maintain at least **5 active municipal clients** on our medium-tier package. Given our goal of securing 12 active clients by the end of Year 2, we project reaching the break-even milestone in **Q1 of Year 2**. Every client acquired past the 5th directly contributes to our profit margin, demonstrating the immense scalability of this specialized B2G business model.